

Industry ↴

948 Financial Services—Mortgage Banking

948 Financial Services—Mortgage Banking

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

948-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Permanent Investor	Added	Maintenance Update 2017-06 	04/07/2017
	948-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	948-10-05-4	Amended	Maintenance Update 2017-06 	04/07/2017

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

948-10-05-1	The Financial Services—Mortgage Banking Topic establishes accounting and reporting standards for mortgage banking entities and entities that engage in certain mortgage banking activities. This Topic includes the following Subtopics: a. Overall
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- b. Receivables
- c. Other Assets and Deferred Costs
- d. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- e. Other Expenses.

948-10-05-2 The Overall Subtopic provides general information concerning certain mortgage banking activities and specific guidance on capital disclosure requirements for mortgage banking entities.

948-10-05-3 As indicated in Section [948-10-15](#), while entities within the scope of this Topic must apply standards contained in all relevant Topics, the following are some of the more closely related Topics to the mortgage banking industry:

- a. Guarantees
- b. Consolidation
- c. Financial Instruments
- d. Interest
- e. Transfers and Servicing.

948-10-05-4 Mortgage banking activities primarily consist of two separate but interrelated activities:

- a. The purchase or origination of mortgage loans and the sale of the loans to [permanent investors](#)
- b. The subsequent long-term servicing of the loans.

948-10-05-5 Mortgage loans are acquired for sale to permanent investors from a variety of sources, including the following:

- a. Applications received directly from borrowers (in-house originations)
- b. Purchases from realtors and brokers
- c. Purchases from investors
- d. Conversions of various forms of interim financing to permanent financing.

948-10-05-6 See Topic [310](#) for guidance on mortgage loan purchases.

948-10-05-7 A mortgage banking entity usually retains the right to service mortgage loans it sells to permanent investors. A servicing fee, usually based on a percentage of the outstanding principal balance of the mortgage loan, is received for performing loan administration functions. When servicing fees exceed the cost of performing servicing functions, the existing contractual right to service mortgage loans has economic value. Because of their value, rights to service mortgage loans frequently have been purchased and sold.

948-10-05-8 Mortgage banking entities may receive or pay nonrefundable loan and commitment fees representing compensation for a variety of services. Those fees may include components representing, for example, an adjustment of the interest yield on the loan, a fee for designating funds for the borrower, or an offset of loan origination costs. For guidance on accounting for loan and commitment fees, see Subtopic [310-20](#).

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

948-10-15-1 The Subtopics within the Financial Services—Mortgage Banking Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Financial Services—Mortgage Banking Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

> Entities

948-10-15-2 The guidance in the Financial Services—Mortgage Banking Topic applies to certain activities of [mortgage banking entities](#).

948-10-15-3 The guidance in this Topic also applies to certain operations of other entities, such as commercial banks and thrift institutions, that may participate in any of the following activities:

- a. Conduct operations that are substantially similar to the primary operations of a mortgage banking entity (for example, through subsidiaries or divisions)
- b. Engage in transactions that involve mortgage activities or transactions but that do not consider themselves to be mortgage companies.

The guidance in this Topic does not apply, however, to the normal lending activities of those other entities.

> Transactions

948-10-15-4 The guidance in this Topic does not apply to the following transactions:

- a. Commitments related to the origination of mortgage loans to be held for sale

b. Fees and costs related to commitments to sell or purchase loans that are accounted for as derivatives under Topic [815](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Federal Home Loan Mortgage Corporation

Often referred to as Freddie Mac, FHLMC is a private corporation authorized by Congress to assist in the development and maintenance of a secondary market in conventional residential mortgages. FHLMC purchases mortgage loans and sells mortgages principally through mortgage participation certificates representing an undivided interest in a group of conventional mortgages. FHLMC guarantees the timely payment of interest and the collection of principal on the participation certificates.

Federal National Mortgage Association

Often referred to as Fannie Mae, FNMA is an investor-owned corporation established by Congress to support the secondary mortgage loan market by purchasing mortgage loans when other investor funds are limited and selling mortgage loans when other investor funds are available.

Government National Mortgage Association

Often referred to as Ginnie Mae, GNMA is a U.S. governmental agency that guarantees certain types of mortgage-backed securities and provides funds for and administers certain types of low-income housing assistance programs.

Mortgage Banking Entity

An entity that is engaged primarily in originating, marketing, and servicing real estate mortgage loans for other than its own account. Mortgage banking entities, as local representatives of institutional lenders, act as correspondents between lenders and borrowers.

Permanent Investor

An entity that invests in mortgage loans for its own account, for example, an insurance entity, commercial or mutual savings bank, savings and loan association, pension plan, real estate investment trust, or Federal National Mortgage Association (FNMA).

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

 [Related Proposed ASUs](#)

- 948-10-50-1** This Section provides capital requirements disclosure guidance for [mortgage banking entities](#) and entities with mortgage banking activities.
- 948-10-50-2** All of the following are capital disclosure requirements for mortgage entities and other activities within the scope of this Subtopic.
- 948-10-50-3** Noncompliance with minimum net worth (capital) requirements imposed by secondary market investors or state-imposed regulatory mandates could materially affect the economic resources of a mortgage banking entity and claims to those resources. To the extent an entity is subject to such requirements, the entity shall disclose all of the following in the notes to financial statements:
- a. A description of the minimum net worth requirements related to secondary market investors and state-imposed regulatory mandates
 - b. The actual or possible material effects of noncompliance with those requirements
 - c. Whether the entity is in compliance with the regulatory capital requirements, including, as of each balance sheet date presented, both of the following with respect to quantitative measures:
 1. The entity's required and actual net worth amounts
 2. Factors that may significantly affect the adequacy of net worth such as potentially volatile components of capital, qualitative factors, or regulatory mandates.
 - d. If, as of the most recent balance sheet date, the entity is not in compliance with capital adequacy requirements, the possible material effects of such conditions on amounts and disclosures in the notes to financial statements.
- 948-10-50-4** Further, noncompliance with minimum net worth requirements may, when considered with other factors, raise substantial doubt about an entity's ability to continue as a going concern for a reasonable period of time. Additional information that might be disclosed in these situations may include the following:
- a. Pertinent conditions and events giving rise to the assessment of substantial doubt about the entity's ability to continue as a going concern for a reasonable period of time
 - b. Possible effects of such conditions and events
 - c. Management's evaluation of the significance of those conditions and events and any mitigating factors
 - d. Possible discontinuance of operations
 - e. Management's plans (including any relevant financial information)
 - f. Information about the recoverability or classification of recorded asset amounts or the amounts or classifications of liabilities.

- 948-10-50-5
- Servicers with net worth requirements from multiple sources shall disclose, in the notes to financial statements, the net worth requirement of the following:
- a. Significant servicing covenants with secondary market investors with commonly defined servicing requirements (Common secondary market investors include the U.S. Department of Housing and Urban Development, [Federal National Mortgage Association \[FNMA\]](#), [Government National Mortgage Association \[GNMA\]](#), and [Federal Home Loan Mortgage Corporation \[FHLMC\]](#).)

b. Any other secondary market investor where violation of the requirement would have a significant adverse effect on the business

c. The most restrictive third-party agreement if not included above.

948 Financial Services—Mortgage Banking

310 Receivables

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

948-310-00-1

Paragraph	Action	Accounting Standards Update	Date
Fair Value (3rd def.)	Added	Accounting Standards Update No. 2012-04	10/01/2012
Most Advantageous Market	Added	Accounting Standards Update No. 2012-04	10/01/2012
Principal Market	Added	Accounting Standards Update No. 2012-04	10/01/2012
948-310-30-1	Amended	Accounting Standards Update No. 2016-13	06/16/2016
948-310-30-4	Amended	Accounting Standards Update No. 2019-04	04/25/2019
948-310-30-4	Amended	Accounting Standards Update No. 2016-13	06/16/2016
948-310-35-1	Amended	Accounting Standards Update No. 2022-01	03/28/2022
944-310-35-1 through	Amended	Accounting Standards Update No.	06/16/2016

35-3		2016-13	
948-310-35-1A	Added	Accounting Standards Update No. 2022-01	03/28/2022
948-310-35-2A	Added	Accounting Standards Update No. 2019-04	04/25/2019
948-310-35-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012
948-310-35-3A	Amended	Accounting Standards Update No. 2012-04	10/01/2012
948-310-35-3A	Amended	Accounting Standards Update No. 2009-16	12/23/2009
948-310-35-5	Superseded	Accounting Standards Update No. 2016-13	06/16/2016
948-310-35-5A	Amended	Accounting Standards Update No. 2019-04	04/25/2019
948-310-35-5A	Added	Accounting Standards Update No. 2016-13	06/16/2016
948-310-40-1	Amended	Accounting Standards Update No. 2009-16	12/23/2009
948-310-45-2	Added	Accounting Standards Update No. 2019-04	04/25/2019
948-310-50-1	Amended	Accounting Standards Update No. 2016-13	06/16/2016

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

948-310-05-1 This Subtopic addresses the accounting and reporting for mortgage loans, [mortgage-backed securities](#), and related fees and costs. The Subtopic also provides measurement guidance for mortgage loan transactions with affiliates.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

948-310-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [948-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Affiliated Entity

An entity that directly or indirectly controls, is controlled by, or is under common control with another entity; also, a party with which the entity may deal if one party has the ability to exercise significant influence over the other's operating and financial policies as discussed in Section [323-10-15](#).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Federal Home Loan Mortgage Corporation

Often referred to as Freddie Mac, FHLMC is a private corporation authorized by Congress to assist in the development and maintenance of a secondary market in conventional residential mortgages. FHLMC purchases mortgage loans and sells mortgages principally through mortgage participation certificates representing an undivided interest in a group of conventional mortgages. FHLMC guarantees the timely payment of interest and the collection of principal on the participation certificates.

Federal National Mortgage Association

Often referred to as Fannie Mae, FNMA is an investor-owned corporation established by Congress to support the secondary mortgage loan market by purchasing mortgage loans when other investor funds are limited and selling mortgage loans when other investor funds are available.

Government National Mortgage Association

Often referred to as Ginnie Mae, GNMA is a U.S. governmental agency that guarantees certain types of mortgage-backed securities and provides funds for and administers certain types of low-income housing assistance programs.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Mortgage Banking Entity

An entity that is engaged primarily in originating, marketing, and servicing real estate mortgage loans for other than its own account. Mortgage banking entities, as local representatives of institutional lenders, act as correspondents between lenders and borrowers.

Mortgage-Backed Securities

Securities issued by a governmental agency or corporation (for example, Government National Mortgage Association [GNMA] or Federal Home Loan Mortgage Corporation [FHLMC]) or by private issuers (for example, Federal National Mortgage Association [FNMA], banks, and mortgage banking entities). Mortgage-backed securities generally are referred to as mortgage participation certificates or pass-through certificates. A participation certificate represents an undivided interest in a pool of

specific mortgage loans. Periodic payments on GNMA participation certificates are backed by the U.S. government. Periodic payments on FHLMC and FNMA certificates are guaranteed by those corporations, but are not backed by the U.S. government.

Most Advantageous Market

The market that maximizes the amount that would be received to sell the asset or minimizes the amount that would be paid to transfer the liability, after taking into account transaction costs and transportation costs.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Originator's Acquisition Cost

Costs incurred by a mortgage banking entity that originates mortgage loans for a lender that intends to hold the loans to maturity. The originator's acquisition cost is equal to the principal amount of the loan adjusted for unamortized net fees and costs and any unearned discounts or premiums.

Principal Market

The market with the greatest volume and level of activity for the asset or liability.

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Uncommitted Loans

A mortgage loan that does not meet the specific terms of a commitment or for which a reasonable doubt exists about the acceptance of the loan under a commitment.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Loans Held as Long-Term Investments

948-310-25-1 A mortgage loan transferred to a long-term-investment classification shall be transferred on the transfer date. A mortgage loan shall not be classified as a long-term investment unless the [mortgage banking entity](#) has both the ability and the intent to hold the loan for the foreseeable future or until maturity.

948-310-25-2 [Paragraph not used.](#)

> Fees and Costs

948-310-25-3 If a loan is held for resale, loan origination fees and the direct loan origination costs as specified in Topic [310](#) shall be deferred until the related loan is sold. If a loan is held for investment, such fees and costs shall be deferred and recognized as an adjustment of yield as specified in paragraphs [310-20-35-18](#), [310-20-35-21 through 35-26](#), and [310-20-50-2](#).

948-310-25-4 Fees and costs associated with originating or acquiring or committing to originate or acquire loans for investment shall be accounted for as prescribed in Topic [310](#).

948-310-25-5 Fees received for guaranteeing the funding of mortgage loans to borrowers, builders, or developers shall be accounted for as prescribed in paragraph [310-20-35-3](#).

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Affiliated Transactions

948-310-30-1 The carrying amount of mortgage loans to be sold to an [affiliated entity](#) shall be adjusted to the lower of amortized cost basis or fair value of the loans as of the date management decides that a sale to an affiliated entity will occur. The date shall be determined based on, at a minimum, formal approval by an authorized representative of the purchaser, issuance of a commitment to purchase the loans, and acceptance of the commitment by the selling entity. The amount of any adjustment shall be charged to income.

948-310-30-2 If a particular class of mortgage loans or all loans are originated exclusively for an affiliated entity, the originator is acting as an agent of the affiliated entity, and the loan transfers shall be accounted for at the [originator's acquisition cost](#). Such an agency relationship, however, would not exist in the case of right of first refusal contracts or similar types of agreements or commitments if the originator retains all the risks associated with ownership of the loans.

948-310-30-3 The originator's acquisition cost must conform to the provisions set forth in Topic [310](#).

> Loans Held as Long-Term Investments

948-310-30-4 A mortgage loan classified as held-for-long-term-investment shall be measured at amortized cost basis. See Subtopic [326-20](#) for guidance on the measurement of credit losses for financial assets measured at amortized cost basis.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Loans Held for Sale

- 948-310-35-1** Mortgage loans held for sale shall be reported at the lower of amortized cost basis or fair value, determined as of the balance sheet date. If a mortgage loan has been the hedged item in a fair value hedge that is not a portfolio layer method hedge (as addressed in Topic [815](#)), the loan's amortized cost basis used in lower-of-amortized-cost-basis-or-fair-value accounting shall reflect the effect of the adjustments of its carrying amount made pursuant to paragraph [815-25-35-1\(b\)](#).
- 948-310-35-1A** If a mortgage loan that is held for sale is included in a closed portfolio hedged in an existing portfolio layer method hedge, the loan's amortized cost basis used in lower-of-amortized-cost-basis-or-fair-value accounting shall not reflect the effect of the adjustments made pursuant to paragraph [815-25-35-1\(c\)](#). If that portfolio layer method hedge is discontinued pursuant to paragraphs [815-25-40-7A through 40-8](#), the loan's amortized cost basis used in lower-of-amortized-cost-basis-or-fair-value accounting shall reflect the effect of the adjustments of its carrying amount made pursuant to paragraphs [815-25-35-1\(b\)](#) and [815-25-40-9 through 40-9A](#).
- 948-310-35-2** The amount by which amortized cost basis exceeds fair value shall be accounted for as a valuation allowance. Changes in the valuation allowances shall be included in the determination of net income of the period in which the change occurs. Purchase discounts on mortgage loans shall not be amortized as interest revenue during the period the loans or securities are held for sale.
- 948-310-35-2A** For a mortgage loan that is transferred into the held-for-sale classification from the held-for-long-term-investment classification, an entity shall reverse in earnings any allowance for credit losses previously recorded on the mortgage loan held-for-long-term-investment at the transfer date. An entity shall then reclassify and transfer the mortgage loan into the held-for-sale classification at its amortized cost basis (which is reduced by any previous writeoffs but excludes any allowance for credit losses). An entity shall then determine if a valuation allowance is necessary by following the applicable guidance in this Subtopic.
- 948-310-35-3** The [fair value](#) of mortgage loans and [mortgage-backed securities](#) held for sale shall be measured by type of loan. At a minimum, the fair value of residential (one- to four-family dwellings) and commercial mortgage loans shall be measured separately. Either the aggregate or individual loan basis may be used in determining the lower of amortized cost basis or fair value for each type of loan. Fair value for loans subject to investor purchase commitments (committed loans) and loans held on a speculative basis (uncommitted loans) shall be measured separately as follows:
- a. Committed loans. Mortgage loans covered by investor commitments shall be based on the fair values of the loans.
 - b. [Uncommitted loans](#). Fair value for uncommitted loans shall be based on [principal market](#) or, in the absence of a principal market, in the [most advantageous market](#) (see paragraphs [820-10-35-5 through 35-6C](#)). That determination relies on the principles in Topic [820](#) and would include consideration of the following:
 1. Market prices and yields sought by market participants in the principal or most advantageous market
 2. Quoted [Government National Mortgage Association](#) (GNMA) security prices or other public market quotations for long-term mortgage loan rates
 3. [Federal Home Loan Mortgage Corporation](#) (FHLMC) and [Federal National Mortgage Association](#) (FNMA) current delivery prices.

c. [Subparagraph superseded by Accounting Standards Update No. 2012-04.](#)

· > Securitization of a Mortgage Loan Held for Sale

948-310-35-3A Paragraph [948-310-40-1](#) states that, after the securitization of a mortgage loan held for sale that meets paragraph [860-10-40-5](#)'s conditions for a sale, any mortgage-backed securities received by the transferor as proceeds shall be classified in accordance with the provisions of Topic [320](#). However, a [mortgage banking entity](#) shall classify as trading any retained mortgage-backed securities that it commits to sell before or during the securitization process. Paragraph [948-310-40-1](#) states that an entity is prohibited from reclassifying loans as investment securities unless the transfer of those loans meets paragraph [860-10-40-5](#)'s conditions for sale accounting.

> Loans Held as Long-Term Investments

948-310-35-4 Any difference between the carrying amount of the loan and its outstanding principal balance shall be recognized as an adjustment to yield by the interest method. The interest method shall be applied as set forth in paragraphs [310-20-35-18](#), [310-20-35-26](#), and [310-20-50-2](#).

948-310-35-5 [Paragraph superseded by Accounting Standards Update No. 2016-13.](#)

948-310-35-5A For a mortgage loan that is transferred into the held-for-long-term-investment classification from the mortgage loans held-for-sale classification, an entity shall reverse in earnings any valuation allowance previously recorded on the mortgage loan held for sale at the transfer date. An entity shall then reclassify and transfer the mortgage loan into the held-for-long-term-investment classification at its amortized cost basis (which is reduced by any previous writeoffs but excludes any valuation allowance). An entity shall then determine if an allowance for credit losses is necessary by following the guidance in Subtopic [326-20](#).

> Other Considerations

948-310-35-6 Capitalized costs of acquiring rights to service mortgage loans, associated with the purchase or origination of mortgage loans (see paragraph [860-50-25-1](#)), shall be excluded from the cost of mortgage loans for the purpose of determining the lower of cost or fair value.

948-310-35-7 If a loan commitment expires without the loan being made or if a loan is repaid before the estimated repayment date, any related unrecognized fees shall be recognized as revenue or expense at that time.

40 Derecognition

i General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Securitization of a Mortgage Loan Held for Sale

948-310-40-1 After the securitization of a mortgage loan held for sale that meets paragraph [860-10-40-5](#)'s conditions for a sale, any mortgage-backed securities received by the transferor as proceeds shall be classified in accordance with the provisions of Topic [320](#). However, paragraph [948-310-35-3A](#) states that a mortgage banking entity must classify as trading any mortgage-backed securities received as proceeds that it commits to sell before or during the securitization process. An entity is prohibited from reclassifying loans as investment securities unless the transfer of those loans meets paragraph [860-10-40-5](#)'s conditions for sale accounting.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

948-310-45-1 [Mortgage banking entities](#) using either a classified or unclassified balance sheet shall distinguish between mortgage loans held for sale and mortgage loans held for long-term investment.

948-310-45-2 An entity shall present the amounts reversed or established for the valuation allowance and the allowance for credit losses, as applicable, related to the transfer of a mortgage loan between classifications (see paragraphs [948-310-35-2A](#) and [948-310-35-5A](#)) on a gross basis in the income statement. An entity may present those amounts on the income statement or in the notes to financial statements.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

948-310-50-1 The method used in determining the lower of amortized cost basis or fair value of mortgage loans (that is, aggregate or individual loan basis) shall be disclosed.

60 Relationships

General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Receivables

948-310-60-1 For the accounting for fees and costs associated with originating or acquiring or committing to originate or acquire loans for investment, see Topic [310](#).

> Not-for-Profit Entities

948-310-60-2 For reporting of [mortgage-backed securities](#) held by not-for-profit entities (NFPs), see Topic [958](#).

S00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

948-310-S00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	948-310-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019

S50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Supplemental Schedule

- 948-310-S50-1** See paragraph [205-10-S99-6](#), Regulation S-X Rule 5-04(c), for the entities required to include Schedule IV—Mortgage Loans on Real Estate.
- 948-310-S50-2** See paragraph [948-310-S99-1](#), Regulation S-X Rule 12-29, for the disclosure requirements of Schedule IV—Mortgage Loans on Real Estate.
- 948-310-S50-3** See paragraph [970-10-S99-1](#), SAB Topic 7.C, for SEC Staff views on whether certain supplemental schedules are required in annual reports.

S99 SEC Materials

General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 12-29, Mortgage Loans on Real Estate

948-310-S99-1 The following is the text of Regulation S-X Rule 12-29, Mortgage Loans on Real Estate (17 CFR 210.12-29).

Reg. § 210.12-29 Mortgage Loans on Real Estate¹

(For certain real estate companies)							
Column A	Column B	Column C	Column D	Column E	Column F	Column G	Column H
Description ^{2,3,4}	Interest rate	Final maturity date	Periodic payment terms ⁵	Prior liens	Face amount of mortgages	Carrying amount of mortgages ^{6,7,8,9}	Principal amount of loans subject to delinquent principal or interest ¹⁰

1 All money columns shall be totaled.

2 The required information is to be given for each individual mortgage loan which exceeds three percent of the total of column G.

3 If the portfolio includes large numbers of mortgages most of which are less than three percent of column G, the mortgages not required to be reported separately should be grouped by classifications that will indicate the dispersion of the portfolio, i.e., for a portfolio of mortgages on single family residential housing. The description should also include number of loans by original loan amounts (e.g., over \$100,000, \$50,000-\$99,999, \$20,000-\$49,000, under \$20,000) and type loan (e.g., VA, FHA, Conventional). Interest rates and maturity dates may be stated in terms of ranges. Data required by columns D, E and F may be omitted for mortgages not required to be reported individually.

4 Loans should be grouped by categories, e.g., first mortgage, second mortgage, construction loans, etc., and for each loan the type of property, e.g., shopping center, high rise apartments, etc., and its geographic locations should be stated.

5 State whether principal and interest is payable at level amount over life to maturity or at varying amounts over life to maturity. State amount of balloon payment at maturity, if any. Also state prepayment penalty terms, if any.

6 In a note to this schedule, furnish a reconciliation, in the following form, of the carrying amount of mortgage loans at the beginning of each period for which statements of comprehensive income are required, with the total amount shown in column G:

Balance at beginning of period	\$	
Additions during period:		
New mortgage loans	\$	
Other (describe)		
Deductions during period:		
Collections of principal	\$	
Foreclosures		
Cost of mortgages sold		
Amortization of premium		
Other (describe)		
Balance at close of period	\$	

If additions represent other than cash expenditures, explain. If any of the changes during the period result from transactions, directly or indirectly with affiliates, explain the bases of such transactions, and state the amounts involved. State the aggregate mortgages (a) renewed and (b) extended. If the carrying amount of new mortgages is in excess of the unpaid amount of the extended mortgages, explain.

7 If any item of mortgage loans on real estate investments has been written down or reserved against, describe the item and explain the basis for the write-down or reserve.

8 State in a note to column G the aggregate cost for Federal income tax purposes.

9 The amount of all intercompany profits in the total of column G shall be stated, if material.

10 (a) Interest in arrears for less than 3 months may be disregarded in computing the total amount of principal subject to delinquent interest.

(b) Of the total principal amount, state the amount acquired from controlled and other affiliates.

[38 FR 6069, Mar. 6, 1973; 38 FR 7323, Mar. 20, 1973. Redesignated at 45 FR 63680, Sept. 25, 1980; 83 FR 50209, Oct. 4, 2018]

948 Financial Services—Mortgage Banking

340 Other Assets and Deferred Costs

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

948-340-05-1 This Subtopic addresses the accounting for costs of issuing certain [Government National Mortgage Association](#) (GNMA) securities.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

948-340-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [948-10-15](#).

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a

particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Government National Mortgage Association

Often referred to as Ginnie Mae, GNMA is a U.S. governmental agency that guarantees certain types of mortgage-backed securities and provides funds for and administers certain types of low-income housing assistance programs.

Internal Reserve Method

A method for making payments to investors for collections of principal and interest on mortgage loans by issuers of Government National Mortgage Association (GNMA) securities. An issuer electing the internal reserve method is required to deposit in a custodial account an amount equal to one month's interest on the mortgage loans that collateralize the GNMA security issued.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Costs of Issuing Certain GNMA Securities

948-340-25-1 One month's interest cost, which is required to be paid to a trustee by issuers of [Government National Mortgage Association](#) (GNMA) securities electing the [internal reserve method](#), shall be capitalized.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Costs of Issuing Certain GNMA Securities

948-340-30-1 The aggregate amount capitalized, including amounts capitalized under other provisions of this Subtopic, shall not exceed the present value of net future servicing income. The rate used to determine the present value shall be an appropriate long-term interest rate. For this purpose, estimates of future servicing revenue shall include expected late charges and other ancillary revenue. Estimates of expected future servicing costs shall include direct costs associated with performing the servicing function and appropriate allocations of other costs. Estimated future servicing costs may be determined on an incremental cost basis.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Costs of Issuing Certain GNMA Securities

948-340-35-1 The amount capitalized shall be amortized in proportion to, and over the period of, estimated net servicing income—the excess of servicing revenues over servicing costs.

948 Financial Services—Mortgage Banking

605 Revenue Recognition

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

948-605-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Mortgage Banking Entity	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Permanent Investor	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	948-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	948-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	948-605-25-1 through 25-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

948-605-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

948-605-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

25 Recognition

- i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

- i General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

- 948-605-25-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 948-605-25-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 948-605-25-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

948 Financial Services—Mortgage Banking

720 Other Expenses

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

The following table identifies the changes made to this Subtopic.			
Paragraph	Action	Accounting Standards Update	Date
Permanent Investor	Added	Maintenance Update 2017-06	04/07/2017
948-720-25-1	Amended	Maintenance Update 2017-06	04/07/2017

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 948-720-05-1 This Subtopic addresses the accounting for residential or commercial loan commitment fees.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

948-720-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [948-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Permanent Investor](#)

An entity that invests in mortgage loans for its own account, for example, an insurance entity, commercial or mutual savings bank, savings and loan association, pension plan, real estate investment trust, or Federal National Mortgage Association (FNMA).

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Residential or Commercial Loan Commitment Fees

948-720-25-1 Fees paid to [permanent investors](#) to ensure the ultimate sale of the loans (residential or commercial loan commitment fees) shall be recognized as expense when the loans are sold to permanent investors or when it becomes evident the commitment will not be used. Because residential loan commitment fees ordinarily relate to blocks of loans, fees recognized as revenue or expense as the result of individual loan transactions shall be based on the ratio of the individual loan amount to the total commitment amount.

948 Financial Services—Mortgage Banking

810 Consolidation

S40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Certain Transfers of Financial Assets that Do Not Fall Within the Scope of Topic 860

948-810-S40-1 See paragraph [942-810-S99-1](#), SAB Topic 5.V, for SEC Staff views on the accounting for certain transfers of financial assets that do not fall within the scope of Topic [860](#).